

Stifel 2022 Cross Sector Insight Conference

Company Participants

- John Fieldly, Chief Executive Officer
- Toby David, Vice President, Business Development

Other Participants

- Mark Astrachan, Stifel

Presentation

Mark Astrachan {BIO 15313233 <GO>}

All right. I'm Mark Astrachan, Stifel's Consumer, Beverage, Household/Personal Products Analyst. With me is John Fieldly, Celsius' CEO; Toby Keith [ph], Executive VP. Thank you guys for joining us today. We're going to have a fireside chat. And I suppose, guys in the audience who want to throw up questions as we go through, just raise your hand, and we can hit those.

I guess, maybe just to start, obviously, those familiar with the story, Celsius has been an amazing growth opportunity over the last couple of years here, partly aided by distribution, partly aided by brand awareness, and increased availability of products. So maybe just to start, John, just give us a bit of a background of kind of where we've come from, where we are today, both from a distribution standpoint, and kind of how you think about sourcing share from a lot of the larger players in the space?

John Fieldly {BIO 17560616 <GO>}

Yes. No, thank you. Thanks for having us as well. Excited to be here. It's quite interesting where we've been and where we're at, and where we're headed. Last time, it got to be about two years ago, we were in Boston at investor conference, speaking this overview out in a hallway, in regards to where we've been.

And if you look about two years ago, we were really talking about an inflection point of the company, where we saw a big opportunity, really building out a national DSD network. And at the time, mainly the bulk of our distribution was direct to retail or leveraging a wholesaler network. From that time, Bang has moved over to Pepsi, so that allowed us to kind of catapult our distribution network. And we're in over 288 distributors today around the country.

And we've been working on really migrating our key accounts over to our distribution network, and that has really increased velocity, increased execution. And

what that does, is it gets us off that primary shelf, gets us into a secondary shelf position, and most importantly, cold. And really up until that point, Celsius has been sold mainly as a take-home product. So buying it warm, bringing it home, showing it, drinking as part of a daily routine, a daily lifestyle.

And we built this brand through fitness, health and wellness, gyms, health clubs, Vitamin Shoppe, GNC, and it is a lifestyle health and wellness brand. And through that time, the health and wellness trends have gotten stronger, continue to get stronger. It is a megatrend that continues to evolve not only in U.S. but globally. And we've built this out. Now we're at about a four share in the category according to the latest data in energy.

We've further expanded on -- in -- on Amazon, number two energy drink on Amazon right now. And we're really seeing increased share opportunities as we're going broader into this traditional energy drink space, which we couldn't have access to without our DSD network. Just can't effectively service the smaller chains or smaller - independent without a DSD network.

So that is the next frontier for Celsius. When we look at it, is really going after that larger TAM, that larger energy drink category, where 70% of energy drinks are sold. And at this point today, when we look at it, we just closed another massive retail chain we've been working on is Circle K. It's over 5,000 doors across the United States. And we've been working on converting their divisions over.

So we're really excited. I think, we're in a great position here as we go forward, and the energy category continues to grow. So really good space.

Questions And Answers

Q - Mark Astrachan {BIO 15313233 <GO>}

(Question And Answer)

That's great. So getting some more specific, maybe harder-hitting questions here. Our work says that, your focus, your selling into consumers being more functional, performance-based is largely incremental from an energy drink standpoint. We know that you're not necessarily sourcing share from Monster and Red Bull's traditional consumers.

If that's right, I suppose, A, do you believe that's right? And B, how much do you think is incremental from a category standpoint? And C, kind of where do you see that piece of the category, that functional performance better for your space playing out over time? And does it ultimately coexist with those legacy entrants?

A - John Fieldly {BIO 17560616 <GO>}

Yes. Toby and I would talk about that all the time. I'll throw it over to you with regards to take a (inaudible) we're sourcing share.

A - Toby David {BIO 20749891 <GO>}

Yes. Absolutely. So the latest data, I think, it was April 27, the data, \$100 million of growth in the energy category; Celsius represented 37% of that; the largest-single performer business in that -- of that growth; more than Red Bull, more than Monster.

Of course, we are gaining share from Red Bull, from Monster, from Rockstar, from VPX, Bang, from some of the legacy brands that are performing as well as Red Bull and Monster, the Rockstars of the world. But on top of that, we are getting that incremental growth. We're seeing new entrants in the category. John likes to reference that we're not your grandfather's energy drink. I think a lot of the 18-year-olds -- 20 -- 18- to 22-year-olds, they are looking for something different. They might not want to have the Red Bull and the Monster, that maybe their parents who are accustomed to drinking and mixing with vodka. --

Q - Mark Astrachan {BIO 15313233 <GO>}

My parents aren't drinking Red Bull or Monster.

A - Toby David {BIO 20749891 <GO>}

So there's is opportunities. And the health and wellness trends, people -- kids want to be different. They're looking for something better. The legacy of our brand though, we've been around for a number of years now, but we're finally starting to see this momentum continue to build, is we were built in the health and wellness channel. So we have credibility, we have authenticity.

You see a lot of other brands out there, whether it's a ZOA, or whomever wants to come in, enter this quote-unquote performance energy category, they don't have that credibility that we've actually established over a number of years. So that you don't have to necessarily be somebody who goes to gym every day and pumping iron; it might be, oh, my friend works out and I see them carrying around the Celsius; I see this trainer on Instagram talking about Celsius. It's just a lot of credibility that we've been able to build up over the years. And that's why we're able to get so many new entrants in the category.

John talks about Lululemon a lot, like, Lululemon started as a yoga brand. But you walk around the airport, there's a lot of people, who might not necessarily look like they're performing much yoga, that are wearing Lululemon pants, and it's more of an aspirational type of business. And that's really what we're going after now, is trying to be aspirational, be a lifestyle brand that's capturing what people want.

A - John Fieldly {BIO 17560616 <GO>}

I think, we're not a me-too product, I think, that's really clear, that we're not just taking share. We're truly that incremental to the category. And I think, when you look at that, if you look at like what just happened over the last two quarters, if you go Q4 and Q1 of this year, we've expanded into the club channel; we expanded into Costco. And it's become a really sizable piece of our business in the first quarter.

That was all incremental to our revenue. We're bringing new consumers into the Celsius portfolio. We didn't see really any share decrease or any decreases in any of our channels. All of our channels during those two periods, where we expanded rapidly into the club channel to all new consumers, was all incremental to our business.

And that's what buyers like to see, incremental brands to the overall category. We're bringing that new consumer in. We're 50-50, male-female. And our demographics historically has been 25 to 35, but with the strong undertow and tailwinds of health and wellness trends, we're seeing 18 to 24, a really new sweet spot for the company over the last 24 months, working with colleges, and it's really resonating with the next-generation.

Q - Mark Astrachan {BIO 15313233 <GO>}

Is that younger consumer also split evenly male-female?

A - John Fieldly {BIO 17560616 <GO>}

It does seem to be split evenly male-female. We -- like, we're at a 55-45 right now, based on kind of the -- some of the anecdotal data we're coming in. And that's one thing, we're not -- we're very inviting. If you look at Celsius' packaging, it's unisex. We're not alienating; we're something for everyone. We've authenticity in that health and wellness, what Toby is talking about. It is -- we're not going after a real high aggressiveness. It is something for you to accomplish your life; it is Celsius live fit; it's that essential energy for life. That's in the gym; outside the gym; your next meeting; to pick up your kids; to go out for on a Friday night. And it's a much broader audience we're going after.

Q - Mark Astrachan {BIO 15313233 <GO>}

And as you've expanded the business, it's expanded your market share. Shares roughly doubled from 2% to 4% over the last 12 months kind of depending on which starting point you want, but obviously, a much bigger number. And you talk about the incrementality, especially as you move away from that to kind of 18 to 35-year old male, that's been the traditional consumer. How did the discussions go with the retailers in terms of just incremental space winning? Are you taking space away from product on shelf? Or are you adding shelf space to the total from a retailer perspective?

A - John Fieldly {BIO 17560616 <GO>}

Well, the great news is, over the last 18 to 24 months, our velocity has continued to increase. So -- and we're able to really educate the retailers on the maximum amount of money they can make per slot on shelf and maximize the cooler space. So we have been buying a lot more data, lately. We just bought Numerator. We had the Numerator team in the office yesterday actually. So we'll be sharing some Numerator data on our next earnings call. We're getting more analytical, more focused on being able to be thought leaders now in the category.

Keep in mind, the large brands want to block and tackle that shelf space. The only way to grab share is you got to own the cooler and you got to own the retail trade floor. So with that, we are really educating the buyers about the opportunities they have with Celsius. There's a lot of, what we call, wounded gazelles in the cooler as well, that Celsius will outperform, out-turn. We're talking about double-facing some of our SKUs now, because some of our SKUs warrant double facings, because the number of days on hand that a one flavor shelf holds and the amount of delivery time or the delivery cycles from the DSD partner. So really helping them.

We are seeing the energy category expand. But I think, we're really talking about now, we have something larger than really the energy category. And keep in mind, when you talk about beverage in total, the top five SKUs -- just top five SKUs, two of those are energy drinks. And so it's a much broader opportunity here than just saying, Celsius is performance energy; Celsius is better-for-you energy. And the latest news you hear now is new age. Keep in mind, larger brands define the categories to block and tackle space.

We're going after the beverage category. We're going after total energy. And we expect to -- we're going to fight for our fair share. Now you are seeing secondary cooler replacements. Everyone is expanding energy. And then, again, NACS, last year, people were talking about reducing some waters and teas, and some of the number of facings on the CSD cooler. So -- and each retailer is really doing it a little bit differently.

Q - Mark Astrachan {BIO 15313233 <GO>}

It seemed like an easy sell, right? You've got a product that's got higher velocity and higher range than whatever else is sitting in that cooler. So it seems a bit of a self-fulfilling prophecy. And Toby and your team sitting there are trying to just go after that, it would seem like a pretty easy argument, right? I mean, what did they tell you, if they're not going to give you the space?

A - Toby David {BIO 20749891 <GO>}

Yes. Absolutely. This year, we're anticipating a lot of opportunity. Last year was really a little bit different story, where -- 1.5%, 2%, is this brand for real, going to retailer, buyer meetings. And we did very well. But I think, there is a lot of opportunity left. Heading into these buyer meetings, I said of the number of a \$100 million of growth in the category, we represented 37%. When you go into a buyer and say, well, that 37% , \$37 million we added to the category, about 90% of that is non-cannibalization. So it's either --

Q - Mark Astrachan {BIO 15313233 <GO>}

And only a four share.

A - Toby David {BIO 20749891 <GO>}

Correct. And so it's new to category or incremental to the category. So what that means is the Celsius shopper is coming into their retail outlet and they're spending more per wing, per shop, than, let's say, a Bang energy consumer or a Monster or

what have you. So when we go in there, and John mentioned, the wounded gazelles, we go in there and say, are they paying their fair share of rent for that space within the cooler? And here's the data that we can showcase to you to why we deserve more prominent space in air cooler.

A - John Fieldly {BIO 17560616 <GO>}

And keep in mind, it's timing and sequencing as well, right? So we're -- I mean, you can buy shelf space, right? But we're being very methodical. We're driving profitable growth. It's timing and sequencing. This year is going to be really our first year in convenience with 68,000 doors. So when you look at it -- and which is about half of the actual reporting stores in Nielsen and IRI.

So this is going to be a great building year for the company in convenience, because you're going to 68,000 doors, you're going to get a full year. You're going to go through summer's beverage season, which is the next really three to four months. Then you're going to get into selling season, which is going to start off, really kicks off in convenience with NACS in October.

That's going to position the company, as Toby is mentioning, in a great position to really talk to those retailers. We're going to have that momentum. We've further data. We're already in their stores. Circle K took us on with about eight flavors nationwide in all their stores. So you're starting to see these retailers take really big bets on Celsius. And that's going to continue -- we feel, it continues to gain momentum as we get into the next selling season, which we're already positioning for.

We got the innovation team, some great new flavors. This year, we launched, for summer, we have our Arctic Vibe. I have that here. We also have it in our hall, out on the second floor. Please go try it. We have our summer flavor, which is our Strawberry Lemonade. It is -- we're hearing, it is the most refreshing energy drink on the market.

So a lot of great flavor innovations, on trend with consumers, fruit flavored [ph], and we got some great marketing programs for the summer as well to put us in position for next year's resets.

Q - Mark Astrachan {BIO 15313233 <GO>}

And how should we think about market share progression? So I mentioned going from two to four, right, in the market we're sitting in here in Boston, we talked about this before, high school, low-double-digit market share. Your home market of Florida is closer to 12 share. How do we think about that? How do you benchmark it without giving any specifics, if you don't want to? But how should investors think about the share progression, what's reasonable?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, we -- Florida is a great market for us. I think there's tons of growth left in Florida. I mean, we talked about -- we were just sitting yesterday with a lot of the sales team members and the leadership team talking about opportunities and

talking about next year's resets. And this year is really fighting for one shelf space, because we warrant it. Next year, it's fighting for two shelves space.

So we're really at the early stage of where this brand can go. I think, when you look at Amazon, the number two energy drink with an 8.4 share, was the last data we have. You see where we are at today at four. You're seeing anecdotal data as you mentioned out of Florida and these other markets, we're somewhere in between at this rate, but we're still growing, over-indexing on Amazon, growing faster than the energy category on Amazon.

So there's a lot of growth ahead of us. I think, as we look at share, we're going to have to continue to execute. The most important thing we need to do, is we need to really activate this distribution network. They really are -- you live or die by your distribution; we have to keep shelves stocked. We still have a lot of out of stocks around the country. And you look at big guys in New York, they do a great job, keeping shelves stocked in key accounts. We need to further expand into independents and regionals.

But we're a 288 distributors out there. So we're building a distribution management team. We're up to about 78 strong, currently. We're hiring great talent every week. And with the success, we're going to continue to drive that forward and we've got great plans to activate. But we're really -- it's -- the distribution network is so critical to how much share we're able to grab and how quickly we we're able to grab it with the next resets kind of coming up.

A - Toby David {BIO 20749891 <GO>}

Without giving a direct answer, we just passed Rockstar to become the fourth-largest energy drink in the country. So now our sights are becoming the number three energy drink in the country, which is Bang. We think there's an opportunity to do that in the relatively near future, whatever, near is, let's say. I'm not going to give any months or years there, but we think that's a pretty -- that's a great opportunity for us. And then we have to set our sights on -- the big milestone will be, how do you actually compete with Monster and Red Bull?

Q - Mark Astrachan {BIO 15313233 <GO>}

Right. And if you unpack the sales trends and kind of thinking about what drives it between velocity and distribution points, so market share kind of moving into distribution points, where are we today in the evolution? Is that market share progression something similar to what we think about distribution points going over time? What do you think that looking at where we are today versus where Bang is, is a good proxy, I mean, just directionally, how do we think about that?

A - John Fieldly {BIO 17560616 <GO>}

I mean, like, we're in -- when you look at the key accounts we're in, we're in -- and talking to a lot of our sales team members and you look at the stores, I mean, we're in a lot of the high-volume stores currently when you look at it. I mean, you look at Walmart, we -- last year, we went in or in -- but unfortunately, we only have three

flavors. We do -- and now we've got -- been authorized -- we're up about six to seven flavors in a lot of stores and cold placement.

So it's -- when you -- if you're just going to look at the store count, there's a lot of opportunity to optimize those doors, and just double if not triple sales within those given outlets. And then there's new doors that are able to -- we're able to close and bring on. The next wave of stores might not be as productive, because we're in a lot of the key accounts. So if you look at Circle K, 7-Eleven, CVS; big opportunity for us at Walgreens. We're not in Walgreens yet. Talk about the Dollar channel -- Dollar Tree, those -- we're not in any of those stores as well.

So there's some huge distribution games that lie ahead that we still do -- not have captured. Kroger and all their banners is a great opportunity for us as well. We're mainly sold in the HPC sets, not in the beverage set. So we're talking with Kroger about getting better placement in those stores, because if you're going to go find out Celsius, a lot of times, you go down that beverage aisle, and you're not going to find us there. So you're going to have to go to a different aisle. So there's, in regards to the share gains, it's a lot of optimization within the retail accounts we have as well.

A - Toby David {BIO 20749891 <GO>}

The good news is, is we're seeing that our velocity has continued to increase as our total points of distribution have increased as well. We expect that to continue, depending on who you talk to, maybe 80% ACV is really the sweet spot. Then once you get into the last 20%, it might not be the most -- the best-performers.

But to John's points, the optimization is getting more SKUs in your existing locations. It's getting better placement. You might go to a racetrack in Florida and see that Celsius is on the top corner, where it's not really the sweet spot where you see a Red Bull or Monster right at eye level. So it's about getting better placements within the store, getting more placements, getting cold placement, getting secondary placements in the store. There's really so much opportunity for us right now, that we're barely scratch -- we're at the tip of the iceberg right now.

Q - Mark Astrachan {BIO 15313233 <GO>}

Yes. And building on that velocity comment, as you've increased distribution, velocity has actually also increased, which is interesting. So what do you think has driven that? And again, kind of how do you think about velocity over time? You mentioned, maybe less productive retailers [ph] --

A - John Fieldly {BIO 17560616 <GO>}

So yes --

Q - Mark Astrachan {BIO 15313233 <GO>}

But it doesn't seem like the data would suggest that, that has happened yet.

A - John Fieldly {BIO 17560616 <GO>}

No. It's kind of the path that company has taken. Really, if we talk about it all the time, we're, like, we're backdooring the energy category. So two things have really allowed us to the data to go against any other brand out there when you look at it.

Number one is our existing business was converting -- is converting over to DSD. So right off the bat by converting to DSD from a direct-to-retail or wholesale model, you're gaining over a 100% lift. And in some cases much more than that, because we're getting those secondary plays, we're placing coolers. So you get -- your velocity is increasing at a very rapid rate in all your existing accounts.

Simultaneously, you're gaining distribution. And you're gaining distribution in the most productive doors in energy. And when you talk about that, you're talking about convenience channel and you look at the 68,000 convenience channel stores that we've entered. So over the journey, over the last 24 months, you're getting -- you have really good tailwinds in regards to flipping over those accounts plus the new distribution, which, you've talked about that, Mark, and it's just -- it's very unusual to see that, and it has to do with the way the company has really gone to market.

Unfortunately, if you go back, the brand has been built in vitamin-specialty gyms and health clubs, and because of our health and wellness trends, the fitness lifestyle, we've been really pigeonholed or kept out of the traditional energy space for whatever reasons from buyers. And this really just started back in 2018 when Bang really opened the eyes of that -- what happens in energy, this performance energy we talked about? No one knew what BCAAs were prior to Bang or creatine.

So that opened the eyes, and the consumers were shifting during that time, and that allowed a trigger to go off in regards to the convenience channel, to allow brands like Celsius to come in. These better-for-you trends further gained more momentum. And it's been a great success for Celsius.

Q - Mark Astrachan {BIO 15313233 <GO>}

If you think about that consumer that's driving the velocity, how much of it is incremental in terms of being new customers versus repeat customers? And how do you measure that?

A - John Fieldly {BIO 17560616 <GO>}

Well, the -- we wouldn't have a business model, if it was all new customers. It's highly-expensive to get new customers in, and we're selling \$2.50 cans at retail. So you're seeing building momentum. We know, we have a high-continuity product. And even prior to getting this cold distribution, we are -- we were -- have continually gained momentum on Amazon and Instacart.

I mean, to get a consumer to buy a \$25 dollar beverage, take it home, chill it, and drink it as part of a daily lifestyle, and come back and repeat purchases, it is extremely difficult, and it shows an extremely-loyal consumer there.

So it's difficult to say how many people are constantly coming back to a particular 7-Eleven, but we know, we're all creatures of habit: go to the same gym, same convenience stores. And grocery store, and we know and we've demonstrated when we get Celsius on shelf, we can continue to see return purchases from consumers and increased velocity levels. If we weren't seeing increased velocity levels, we would constantly, to your point, have to fight for that new consumer every time and we would lose them.

The other thing you see, is the category we're in, which is the energy category. And it's a great category to be in, not only because it's been growing over the last several years. It's a 6% to 8% CAGR. We expect that to continue, and it should double in the next 12 years. When you look at that, it is very loyal. The consumers in the energy category are extremely-loyal to their brands. And going back from the fitness, where we started from ten years ago, our fanbase, we know they're loyal.

And you meet any Celsius consumers, I know, we have several in the room here, you know, you're loyal to Celsius, and it's part of your daily life, part of your daily routine. So we know, we have that continuity rate, and we're building upon that.

Q - Mark Astrachan {BIO 15313233 <GO>}

So let's shift a little bit. You mentioned price point. We could go down the rabbit hole of gross margins and input cost pressures, which we're just not, because I think it's a waste of time. But you did talk about taking pricing; Monster talked about taking pricing, I think, 6-, 12 months ago, everybody was talking about why nobody had taken pricing in this category.

So you've announced, but you haven't said specifically what the price increase is. Monster has talked about a roughly 6% price increase. So I guess, first of all, how do you anticipate the retailer reaction to this be from a category standpoint? Let's just clear the base, is it going to go through?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I mean, we've been taking price. So if you look at our average price, ARP, I mean, we grew up -- we've been -- if you go back 52 weeks, we've been taking price; we've been doing price elasticity testing; we've gone away from a variety of deep programs, BOGOs and different strategies as well. And the velocity continues to increase.

So we know the elasticity on the brand, the product warrants a higher price, and consumers are willing to pay a higher price. And we did take front-line pricing up. We expect that to be fully in by the fourth quarter. It's likely. It is in line with the industry and the category, where we are.

It's -- we're -- you're not going to see it a 100% in our numbers, because there's some customers that are locked in on annual contracts; you have timing on when those will take place. It is a kind of a three-tier roll-out we're doing that we kicked off

April 1. I think it sticks at the end of the day. It does provide us another tool in our toolbelt. The energy category is very promotionally-driven, so keep that in mind.

So I mean, it's like 27 years -- 27 weeks of promotion on average or 28. So it's highly promote -- we got to continue to promote, if we're going to stay relevant with consumers. We'll see how, if it sticks. We're -- at least, we're in control, and we're in the driver's seat, and it does give another lever, another tool in our toolbelt.

Q - Mark Astrachan {BIO 15313233 <GO>}

I'm going to come back to the promotional piece of it, because I want to talk about that. But in terms of the pricing, was there any thought in your mind around specific price point threshold you didn't want to pass, any thoughts on elasticity of the brand? Your product is at a slight premium, for example, to Monster below or Red Bull is. So do you get to, what, \$2.99 average price point with this, was there any sort of thinking in there?

A - John Fieldly {BIO 17560616 <GO>}

Yes. We didn't want to go to \$2.99. I think, there is some price elasticity and that upward. We can't go above Monster -- I mean, above Red Bull. We want to be priced somewhere in between. And keep in mind, we're also at 12 ounce versus a 16 ounce when you're comping us against Monster. So you have that price differentiation or differential.

We do think being in that \$2.40, \$2.59, \$2.60 -- \$2.59 to \$2.79 is kind of where we want to be, and then we can run from there at this timing. And we think that's the right -- the right price point, based on -- in the convenience channel. And it puts us in a good winning position, and then we can do promotions off of that, and -- to gain that additional incremental -- gain that trial and awareness, because there is a section or a portion of the energy drink category, if we want to compete in that, that is very price-sensitive.

Q - Mark Astrachan {BIO 15313233 <GO>}

And on the promotional piece, so prior to the actual announcements of list price increases, many in the industry you included were just reducing promotional activity, effectively raising prices. Yours, I think, was a little bit more pronounced than the average, but even Monster and Red Bull were participating in that. And so -- and generally, I think, the pricing in the category before actual list price increases has been somewhere in that 4-ish percent range. How much do you think of that gets [ph] given back, if any?

A - John Fieldly {BIO 17560616 <GO>}

I think, the category stays, probably, 4% to 6% is kind of, it stays. I think, we're all just taking --

Q - Mark Astrachan {BIO 15313233 <GO>}

I think, your pricing is incremental to what we're seeing today, the actual list prices?

A - John Fieldly {BIO 17560616 <GO>}

Correct.

Q - Mark Astrachan {BIO 15313233 <GO>}

And the consumer accepts that; the retailer obviously accepts that?

A - John Fieldly {BIO 17560616 <GO>}

Yes. And I think you're going to see -- you're going to see promotions blending it in. It's not going to be -- it's not -- it's going happen over time. So you're going to do promotional strategy blending in order to blend that price into the consumer versus it's not going to be overnight flicking the switch. You're going to have to do some promotional strategies to drive that through, and that's our plan as well.

Q - Mark Astrachan {BIO 15313233 <GO>}

And do you think that, that average historically speaking of roughly half the year on promotion is the right sweet spot for the category? And why?

A - John Fieldly {BIO 17560616 <GO>}

It's a great question. It's -- that is -- it's kind of an industry norm. So you --

Q - Mark Astrachan {BIO 15313233 <GO>}

Doesn't mean that it's right.

A - John Fieldly {BIO 17560616 <GO>}

Doesn't mean that it's right. But it is expected -- it is expected by retailers, so in order to compete, a lot of it. In addition to the brand-building, the consumers, it is extremely-important to also work with your retailers to get that secondary shelf placements, to get the off shelf. And a lot of times -- the only way you can do that a lot of times is to have an MPD [ph], a new item you're coming in with or you're doing some type of promotion aligned with that retailer. So it's part of the trade marketing program, which is another key component in building a brand.

A - Toby David {BIO 20749891 <GO>}

We also do testing and it isn't necessary, do a 2 for 4, because you do 2 for 450. What's the performance one versus the other? So we do testing on that. We try to make sure that we're optimizing that as well, so that we can capture as much profit there as possible.

Q - Mark Astrachan {BIO 15313233 <GO>}

Great. And then we've got 30 seconds. I'm going to make it a quick question. So we're going to talk margins for a second. You've got a public competitor that has much higher margins than you from an EBIT margin standpoint, gross margin, SG&A as well. What's the point at which Celsius starts to leverage into those margin

numbers from a revenue standpoint? And why can't that number be a really big number over time? This is your opportunity to give a real big pitch.

A - John Fieldly {BIO 17560616 <GO>}

Yes. No. No, absolutely, I mean, there's a lot of opportunity in margin. There's a lot of leverage left in this system. We are overinvesting ahead of revenue right now. If you look at our -- the amount of resources we're putting in sales, SG&A. And the scale and size, when you're looking at it, the inflection point, you look at Monster, who's another public comp that's very close, so we benchmark ourselves against Monster closely.

And when you look at it, their inflection point was right around that \$700 million, \$800 million range. Now keep in mind, public company costs are much different than -- when Monster -- ten years ago. But those are things that we monitor ourselves very closely. Very similar product profile, business model as well. And I think, we've got a lot of leverage left in the company as we continue to grow and scale, and take more share in the industry and drive top-line revenues.

Q - Mark Astrachan {BIO 15313233 <GO>}

Great. Well, with that, we're going to leave it, John, Toby. Thank you, guys.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

A - Toby David {BIO 20749891 <GO>}

Thank you.

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